MEZO BUILDATHON · WAVE 2 · TRACK 1 DEFI

Tenor

Know what your MUSD earns.

Tenor splits Mezo's savings token sMUSD into a fixed-rate principal token and a variable-rate yield token, and prices the fixed rate on a Tigris pool.

Harry Phan (harrymove-ctrl) · contracts, app, ops

THE PROBLEM

Nobody can plan on sMUSD's rate

sMUSD pays MUSD from trove interest through PCV. Read from Mezo mainnet on 2026-11-03 (block 12,951,840), its realized rate depends on the week you look at:

Window	Realized sMUSD rate, annualized
Last 7 days	0.03%
Last 14 days	2.13%
Last 30 days	2.06%
Last 60 days	3.35%
Last 90 days	2.42%

Supply fell from 7.38M to 6.78M sMUSD in a week. Savers who want a known return leave; people with a view on Mezo's revenue have no way to express it.

THE PRODUCT

Split the yield from the principal

PT: the fixed rate

Redeems for exactly 1 MUSD at maturity, whatever sMUSD pays. Bought below 1 MUSD, so the discount is your fixed return.

YT: the variable rate

Collects every MUSD of sMUSD yield on 1 MUSD until maturity. Costs a fraction of a MUSD: leverage on Mezo's protocol revenue.

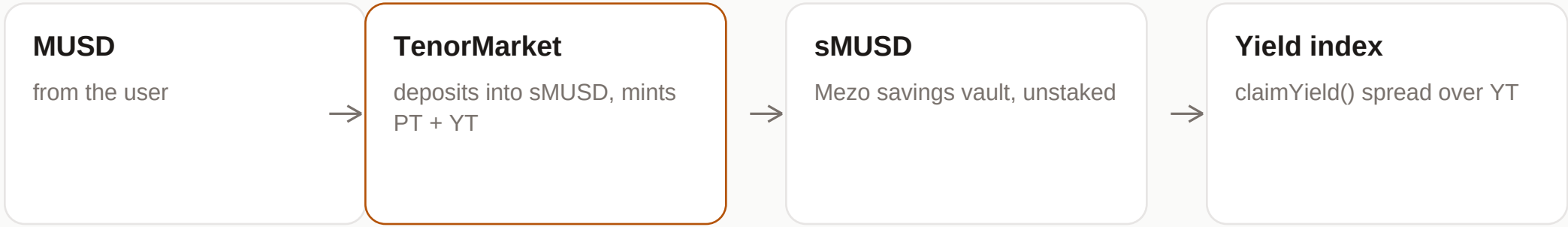
PT/MUSD Tigris pool

A stable pool on Mezo's own DEX prices PT, so the market sets the fixed rate. Anyone can provide liquidity and earn fees.

1. Saver: 1,000 MUSD buys about 1,002 PT, worth 1,002 MUSD on Dec 31 (rate fixed today).
2. Rate trader: 3 MUSD buys about 90 YT, which pays out if sMUSD averages above the break-even rate.
3. Before maturity, 1 PT + 1 YT always combine back into 1 MUSD plus earned yield.

HOW IT WORKS

One sMUSD backs one PT, always



1. TenorRouter buys and sells PT on the Tigris stable pool and buys YT in one transaction with a flash swap (IPoolCallee.hook).
2. Every PT and YT transfer settles earned yield for both sides first, the same rule sMUSD applies to itself.
3. At maturity the market settles: yield earned before goes to YT, yield after goes to PT holders who wait. PT redeems 1:1.
4. No owner, no pause, no upgrade path in Tenor's contracts. A 5% fee on harvested yield goes to an immutable recipient.

MEZO INTEGRATION

Built on Mezo's own primitives

Mezo contract	What Tenor does with it
sMUSD (MUSDSavingsRate)	deposit, withdraw, claimYield; reads yieldIndex and claimable for live quotes
Tigris PoolFactory	createPool(PT, MUSD, stable) permissionlessly for each maturity
Tigris Pool	getAmountOut and swap, including the flash callback that buys YT in one transaction
Tigris Router	starter flow: swap testnet BTC for MUSD so a new user only needs the faucet
MUSD	the asset every PT redeems into

New MUSD demand, not a router over old venues: fixed-rate savers hold MUSD in PT to a date, rate traders buy YT with MUSD, and liquidity providers park MUSD in the PT pool.

Next: route part of the fee to gauge bribes for veBTC voters, and a MEZO-mode YT that stakes sMUSD in its gauge.

PROOF

Tested against the real Tigris pool

Check	Result
Unit and fuzz tests (real Tigris Pool and PoolFactory)	24 pass; 2 mainnet fork tests opt-in
Invariants: backing, supply parity, yield solvency	3 pass, 16,384 calls each, 0 reverts
End-to-end rehearsal: deploy, seed, prove, redeem	8 of 8 checks pass
Live panel with real transactions (approve, buy PT, buy YT, claim)	pass on the rehearsal chain
Keeper brings a skewed pool back to target	66.4% to 3.36% in one pass
Mezo testnet factory	0x6326349e8ebb72e14a18d280f7cf54611c904945
Mezo testnet router	0xc012212d50946318f9236547949e73fe9f2fbd71

A bug the tests caught: sMUSD.withdraw can release fresh yield inside the call. Burning tokens first sent that yield to fees; Tenor now withdraws first, then burns.

BUSINESS MODEL

Who pays, and why it lasts

1. Tenor takes 5% of the sMUSD yield it harvests for YT holders. Savers buying PT pay only the pool fee.
2. Liquidity providers earn Tigris swap fees on every PT and YT trade.
3. No dependence on emissions: revenue scales with sMUSD's own rate and with how much MUSD wants a fixed date.
4. Precedent: Pendle holds about $5B, over 80% of it in stablecoin yield. Mezo has no rate market today; 0 of 135 Wave 1 entries built one.

NEXT

Roadmap and asks

When	What
Wave 2 (by Nov 13)	Testnet markets for Nov 12 and Dec 31; live redemption at maturity; outside testers
Wave 3	Capped mainnet market for Dec 31; keeper on a schedule; public proof page
After	Concentrated-liquidity PT pool for depth; MEZO-mode YT; PT as Morpho collateral

1. Mezo: whitelist PT for a gauge so liquidity providers can earn MEZO.
2. Mezo: a lower stable fee for PT pools. The 0.05% fee is charged on the full notional of every YT buy.
3. Testers: lock a rate or buy YT on testnet and tell us what was unclear.